

Project Procurement Management

SECTION: Definition

Procurement management covers the processes for purchasing or acquiring products, services, or results needed from outside the performing organization/team.

SECTION: Key Processes

1. **Plan Procurement Management** — deciding what to procure, how, and when; includes the **Make-or-Buy Analysis**.
2. **Conduct Procurements** — obtaining seller responses (bids/proposals), selecting a seller, and awarding a contract.
3. **Control Procurements** — managing procurement relationships, monitoring contract performance, making changes as needed.
4. **Close Procurements** — completing each procurement (formal acceptance and closure).

SECTION: Make-or-Buy Analysis

A technique to determine whether particular work can best be accomplished in-house or should be purchased from an outside source. Considerations include:

- **Cost comparison:** in-house production cost vs purchase price + procurement overhead.
- **Core competency:** is this work central to competitive advantage (keep in-house) or a commodity (outsource)?
- **Capacity:** does the organization have available skilled resources?
- **Control and IP concerns:** outsourcing may risk losing control over quality, schedule, or intellectual property.

Simple lease-vs-buy example: If leasing equipment costs \$500/month and buying costs \$12,000 with \$50/month maintenance, the break-even point is where total lease cost equals total buy cost:

$$500m = 12,000 + 50m \rightarrow 450m = 12,000 \rightarrow m \approx 26.7 \text{ months.}$$

If the equipment is needed for longer than ~27 months, buying is cheaper; if shorter, leasing is cheaper.

SECTION: Contract Types

- **Fixed-Price (FP) Contracts:** seller agrees to a total fixed price for a defined scope.
- ***Firm Fixed Price (FFP)*:** price does not change regardless of seller's costs — highest risk to seller, lowest risk to buyer.
- ***Fixed Price Incentive Fee (FPIF)*:** fixed price with a financial incentive for meeting agreed metrics (e.g. early delivery).

- ***Fixed Price with Economic Price Adjustment (FP-EPA)***: allows adjustments for inflation or commodity price changes over a long-term contract.
- **Cost-Reimbursable (CR) Contracts**: buyer reimburses seller's actual costs, plus a fee representing profit — higher risk to buyer.
- ***Cost Plus Fixed Fee (CPFF)***: costs reimbursed plus a fixed fee agreed in advance.
- ***Cost Plus Incentive Fee (CPIF)***: costs reimbursed plus an incentive fee based on performance.
- ***Cost Plus Award Fee (CPAF)***: costs reimbursed plus an award fee based on subjective buyer satisfaction criteria.
- **Time and Materials (T&M) Contracts**: hybrid — buyer pays for labor hours (at a set rate) and materials used; common for smaller, undefined-scope work like staff augmentation or short consulting engagements. Risk is open-ended for the buyer if not capped.

SECTION: Risk Allocation by Contract Type

Fixed-price contracts shift more risk to the seller (they must absorb cost overruns), while cost-reimbursable contracts shift more risk to the buyer (who pays for whatever the seller actually spends). T&M; sits in between but can behave like cost-reimbursable if not tightly scoped/capped.

SECTION: Procurement Documents

- **RFP (Request for Proposal)**: used when the solution approach is not fully defined — sellers propose **how** they would solve the problem.
- **RFQ (Request for Quotation)**: used when the buyer knows exactly what is needed — sellers quote a **price** for a defined item/service.
- **IFB/RFB (Invitation/Request for Bid)**: similar to RFQ, primarily price-driven for standardized goods.
- **SOW (Statement of Work)**: describes the procurement item in enough detail to allow prospective sellers to determine if they can provide it.

SECTION: Common Exam Angles

- Recommend a contract type given a described risk/uncertainty scenario, with justification.
- Perform a make-or-buy / lease-vs-buy break-even calculation.
- Distinguish RFP vs RFQ vs IFB and when each is used.
- Explain how risk is allocated differently between fixed-price and cost-reimbursable contracts.